year, contained information about the armed and unarmed revolutionary struggle in various parts of the world, including Nepal.

According to Stephen I. Mikesell, a research scholar writing in Kathmandu's *Himal* magazine,

> Appealing geo-cultural analogies can be drawn between Peru and Nepal. Both countries straddle mountain ranges of their respective continents, in which isolated valleys and high ridges have given way to a wide variety of cultural traditions. While neither country has a history of a recent foreign military conquest and occupation, as was the case in China in the 1930s, both have large rural indigenous populations subordinated to small ruling élites with whom they are divided by racism or casteism and regionalism.[6]

During the heydays of the Shining Path and the emergence of the militant Maoist movement in Nepal, Peru and Nepal both experienced sharp and growing divisions between the city and the countryside. In Nepal, despite the introduction of democracy and a more open economy since 1990, wages remained virtually stagnant, and GDP growth averaged an abysmal 2.3 per cent annually. This meant that the rapid annual increase in population of 2.4 per cent ate up all the achievements that the new governments brought in. According to a report by Kathmandu-based think-tank Nepal South Asia Centre, 71 per cent of wealth, even in the capital, was in the hands of 12 per cent of the households and only 3.7 per cent of the national income reached the poorest 20 per cent of the population.[7]

Regional disparities were also severe. The annual per capita income in Kathmandu averaged around 21,000 Nepalese Rupees (US$312) in the 1990s, while it was as low as 5,000 Nepalese Rupees in the poorest districts in the northwest, an area which was served by neither roads nor development activities. The International Centre for Integrated Mountain Development, a foreign-funded research institute, in its 1997 report, listed the western districts as 'the worst' in terms of literacy, child labour, landless households, and per capita food production.[8] Shyam Shrestha of the left-wing monthly magazine *Mulyankan* described Nepal's northwest as a 'poverty-stricken area … inhabited by Magars, a very "backward" ethnic group which continues to be sustained through migrant labour to India. A region ruled historically by feudal princelings, the area even today retains a medieval relationship between rich and poor—a classic setting for Maoist activity.'[9]